

Cotton and Raw Material Outlook 2026

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Cotton price direction

Cotton yarn prices rose approximately 12 percent through the second half of 2025 on the back of a weak harvest in the region and higher freight costs. The current view is that prices stabilise through the first half of 2026 and ease slightly in the second half as the new harvest arrives from September.

The practical effect for planning is that fabric bought before September 2026 will carry the higher price, and a large forward buy during the mid-year promotion window costs materially more than the same buy placed in the fourth quarter.

Effect on buyer behaviour

Buyers have responded to higher cotton prices in two ways. First, by shifting part of their basic t-shirt volume from cotton to polyester and blended constructions, which favours GAR-007 Green Sports T-Shirt. Second, by placing shorter, more frequent orders rather than large forward commitments, which increases order frequency while reducing the average order size.

A forecast that shows rising order count but flat total volume is consistent with this behaviour and should not be read as growth.

Polyester and performance fabrics

Polyester prices have been stable and performance knits are the fastest growing category across the customer base, running at roughly 20 percent annual growth. Sportswear demand is also less seasonal than cotton basics, so GAR-007 forecasts should show a steadier month-on-month line with a smaller festival effect.

Fleece and winter fabrics

Fleece pricing peaks between June and August as northern hemisphere winter programmes are placed. Buying fleece for GAR-004 Grey Hoodie in this window costs 8 to 10 percent more than buying it in February or March.